COURSE

Cambridge IGCSE Business (0450 / 0264)

Motivation

2 People in business · 2.4 Motivating employees (0450: 2.1)

Revision for 2 People in business: each firm works it out on its own deals.

Class **Cambridge IGCSE Business (0450 / 0264)** Topic **Motivation**

THE LESSON

Setup 2 min

Round 1 Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	Deals	TASK 1 Herzberg: hygiene	TASK 2 Non-financial ways

Round 2 Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 3 Maslow in order	TASK 4 Pay with commission	B2B deal

Round 3 Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 5 Pay rise or variety	TASK 6 Maslow: next need	B2B deal

Final questions 3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

You raise pay and fix the cold workshop. Complaints stop, but staff work no harder.

Using Herzberg, why did output not rise?

PICK ONE

- ✔ **Pay and conditions are hygiene factors**
- ○ Pay is a motivator, but too small
- ○ Staff need closer supervision
- ○ Staff's esteem needs are already met

Why: Hygiene factors remove dissatisfaction but do not motivate.

Task 2

ROUND 1

You cannot afford pay rises this year.

Which two are non-financial ways to motivate?

PICK TWO

- ○ A bonus for hitting targets
- ○ A staff discount on cars
- ○ Commission on each sale
- ✔ **More responsibility at work**
- ✔ **Praise and awards for good work**

Why: Praise and responsibility cost little; the other three are money or benefits.

Task 3

ROUND 2

Maslow's hierarchy of needs, at your firm.

Put the needs in order, lowest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Physiological: pay for the basics**
2. **Safety: a secure contract**
3. **Social: a friendly team**
4. **Esteem: praise for good work**

Why: Maslow: physiological, safety, social, then esteem, then self-actualisation.

Task 4

ROUND 2

Basic pay plus commission on sales.

Her pay this month?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Basic pay this month	**£1,800**
Her car sales this month	**£85,000**
Commission on her sales	**1%**

METHOD

Pay = basic pay + commission × her sales

£1,800 + 1% × £85,000 = £2,650

Why: Commission rises with each sale, so her pay follows her selling.

Task 5

ROUND 3

Staff say their pay is fair, but the work is the same every day.

Which change should you make, and why?

PICK A OR B AND GIVE A REASON

- ○ A 3% pay rise for all
- ✔ **More varied, responsible work**

Why: Pay is not the problem; varied work with responsibility tackles dull jobs.

Task 6

ROUND 3

A technician has a secure, well-paid job and friends at work, but feels no one values her skill.

Using Maslow, which need should you meet next?

PICK ONE

- ✔ **Esteem needs**
- ○ Physiological needs
- ○ Safety needs
- ○ Social needs

Why: Safety and social needs are met; recognition is an esteem need, which comes next.

Final questions

6
questions for each pupil

159
Level 2 Business questions

2
of them on motivation

The game draws the 2 questions on this topic, and 4 more from the 159 Level 2 questions.

1 Which action is a non-financial method of motivating employees?
Giving technicians more responsibility and recognition for good work.

2 A valeting firm pays workers for each vehicle completed. What is a possible disadvantage?
Workers may rush, reducing service quality.